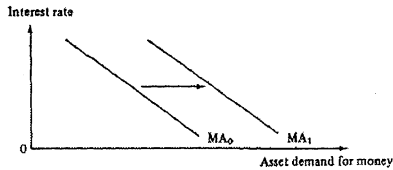


5.2 MONEY DEMAND

Multiple Choice Questions

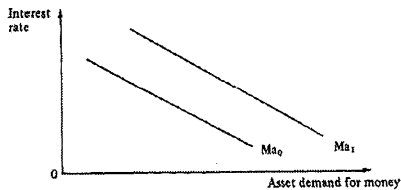
1990/AL/II/13



Which of the following correctly explains the rightward shift of the asset demand function from MA_0 to MA_1 ?

- A. a rise in the interest rate
- B. a rise in investment
- C. an increase in the sale of government bonds
- D. a rise in the risk of holding bonds

1991/AL/II/15



Which of the following correctly explains the shift of the asset demand for money curve from MA_0 to MA_1 ?

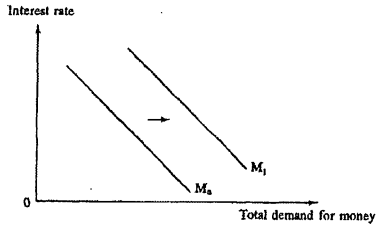
- (1) a fall in the interest rate
 - (2) a preference for higher liquidity
 - (3) a widespread use of credit cards
 - (4) expectations of a fall in bond prices
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (4) only
 - D. (3) and (4) only

1993/AL/II/28

Which of the following about money demand is **NOT** true?

- A. It is positively related with the anticipated inflation rate.
- B. It is positively related with wealth.
- C. It is negatively related with the real rate of interest.
- D. It is positively related with income.

1995/AL/II/14



Refer to the above diagram. Which of the following correctly explains the shift of the total demand for money curve from M_0 to M_1 ?

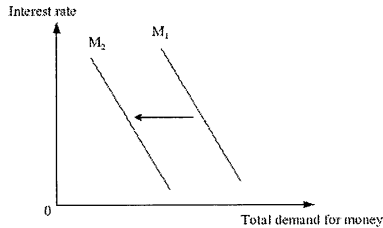
- A. a fall in the interest rate
- B. a rise in national income
- C. expectations of a rise in bond prices
- D. a purchase of bonds by the government in the open market

1995/AL/II/15

If people expect a rise in the market rate of interest, they will hold _____ money for asset purposes as bond prices will _____ and they will tend to buy _____ bonds.

- A. more rise more
- B. more fall less
- C. less rise more
- D. less fall less

2001/AL/II/22



Refer to the above diagram. Which of the following can explain the shift of the total demand for money curve from M_1 to M_2 ?

- (1) a rise in the interest rate
- (2) more shops accepting the Easy Pay System (EPS) payment method
- (3) a fall in the national income

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

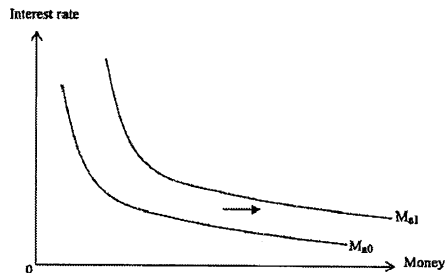
2005/AL/II/15

Which of the following can explain the rightward shift of the total demand for money curve?

- A. more extensive use of credit cards
- B. an increase in the velocity of circulation of money
- C. a fall in interest rates
- D. higher risk of holding bonds

2008/AL/II/20

Refer to the following diagram.



The asset demand for money will shift from M_{a0} to M_{a1} when

- A. income increases.
- B. the interest rate decreases.
- C. the general price level increases.
- D. the interest rate is expected to increase.

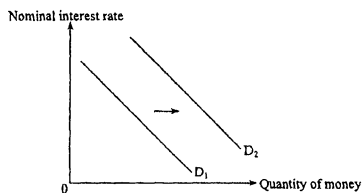
2009/AL/II/15

Which of the following statements about money demand is true?

- (1) Transaction demand for money tends to be more stable than asset demand for money.
 - (2) The shorter the time interval between wage receipts, the higher the transaction demand for money.
 - (3) The higher the volatility of the financial market, the higher the asset demand for money.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

2013/DSE/I/27

Refer to the following diagram.

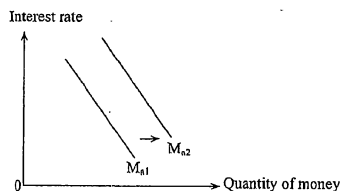


Which of the following will cause the money demand curve to shift from D_1 to D_2 ?

- A. a fall in the nominal interest rate
- B. a rise in national income
- C. more widespread use of electronic money
- D. an open market purchase of bonds by the central bank

2015/DSE/I/28

Refer to the following diagram.

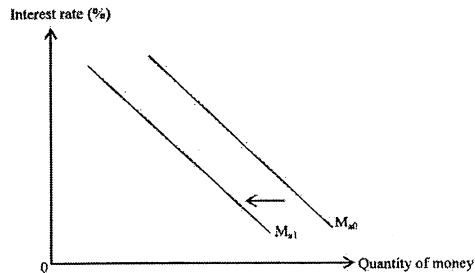


The curve of asset demand for money will shift from M_{a1} to M_{a2} when

- A. the risk of investing in the stock market increases.
- B. the interest rate decreases.
- C. the general price level rises.
- D. the government reduces the income tax rate.

2016/DSE/I/29

Refer to the following diagram.

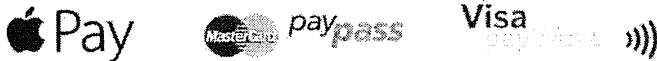


Which of the following would lead to the above change in the asset demand for money curve?

- A. The stock market becomes less volatile.
- B. The general price level is expected to fall continuously.
- C. The central bank raises the discount rate.
- D. There is a fall in disposable income of households.

2017/DSE/I/30

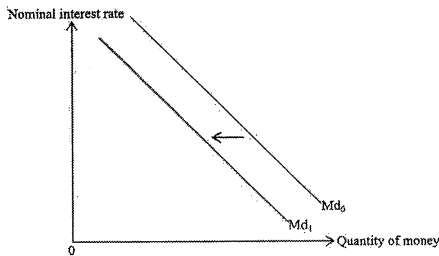
Electronic payment systems allow customers to pay without cash. ApplePay, Visa payWave and MasterCard paypass are some of the examples.



When more shops accept these electronic payment systems as a method of payment,

- (1) their cost of handling coins and notes will fall.
 - (2) the actual banking multiplier may increase.
 - (3) transactions demand for money will increase.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

2018/DSE/I/29

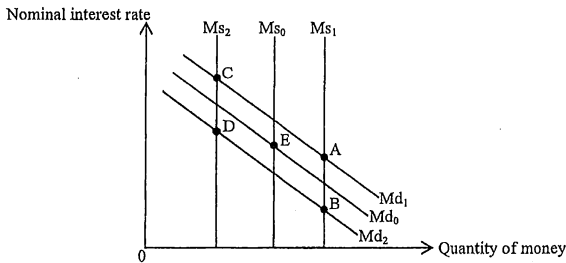


Which of the following would result in the above change in money demand?

- A. The central bank issues larger denomination banknotes for circulation.
- B. The expected inflation rate drops.
- C. The risk of investing in stock market decreases.
- D. Security problems have been found in the major electronic payment system.

2019/DSE/I/33

The diagram below shows the money supply and money demand curves of an economy. The original equilibrium point is at E.

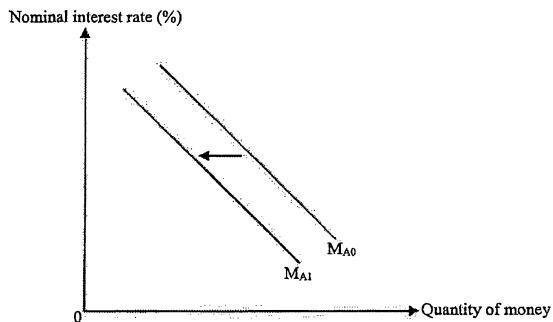


Suppose electronic payments become more common, and the central bank increases the legal reserve ratio of the commercial banks. The new equilibrium point will be at ____.

- A. A
- B. B
- C. C
- D. D

2020/DSE/I/28

The following diagram shows the asset demand for money of an economy.

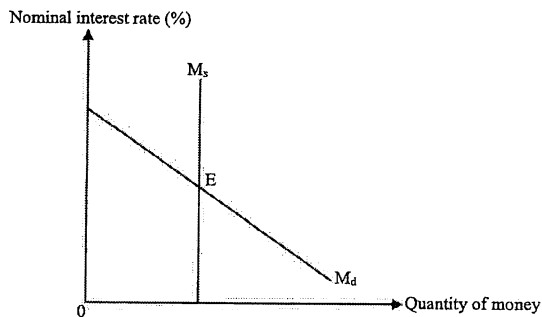


Which of the following will cause the above change in asset demand for money?

- A. The nominal interest rate increases.
- B. There is a contraction of monetary base.
- C. The use of electronic wallets such as Alipay (支付宝) becomes more popular.
- D. The expected rate of return of holding bonds increases.

2020/DSE/I/31

The following diagram indicates the money supply curve (M_s) and money demand curve (M_d) of a certain economy. Suppose the initial equilibrium point is at E.



If the income of the public increases and the central bank sells government bonds to the public, the interest rate _____ and the quantity of money _____.

- A. will decrease.....will increase
- B. will increase.....may increase or decrease
- C. may increase or decrease.....will decrease
- D. will increase.....will decrease

2020/DSE/I/37

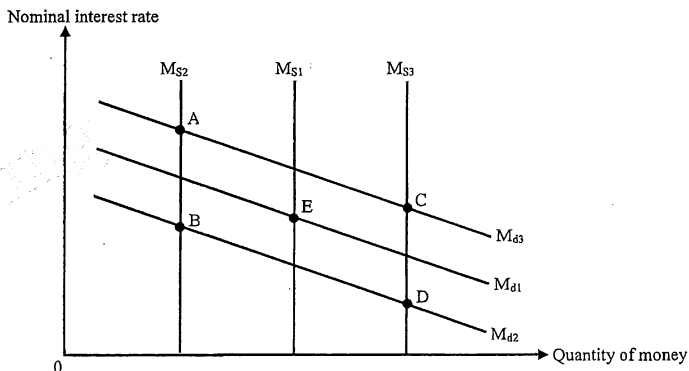
An economist said, 'The continuous fall in stock prices in our country has already affected the consumption expenditure as well as the money demand. We should implement a policy to relieve the effects on the output level and the interest rate.' Which of the following policies can stabilise the output level and the interest rate in the country at the same time in the short run?

(Assume the interest rate is mainly affected by the asset demand for money in this case.)

- A. The government increases cash subsidy to the poor.
- B. The government gives tariff exemption to the imports of goods.
- C. The central bank instructs the commercial banks to tighten the requirement of personal loans.
- D. The central bank buys government bonds from the public.

2022/DSE/I/33

The diagram below shows the money demand and money supply curves of an economy. The original equilibrium point is at E.



Suppose most of the employers in the economy change the payment of salaries from monthly to bi-weekly. At the same time, the commercial banks tend to hold more excess reserves. The new equilibrium point will be at _____.

- A. A
- B. B
- C. C
- D. D

2022/DSE/I/35

The nominal interest rate on a one-year deposit is 1% and the inflation rate is 3%. The cost of holding cash is _____ and the real rate of return of holding cash is _____.

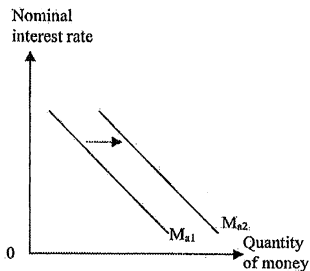
- A. 1%.....-3%
- B. 1%.....-2%
- C. 3%.....-3%
- D. 3%.....-2%

2023/DSE/I/29

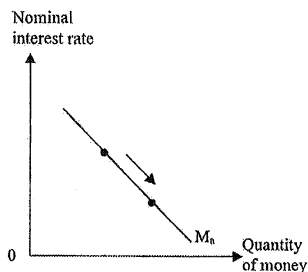
Suppose the stock market becomes more volatile. Which of the following diagrams best illustrates the effect of the above change on the money market?

M_a = asset demand for money
 M_t = transaction demand for money

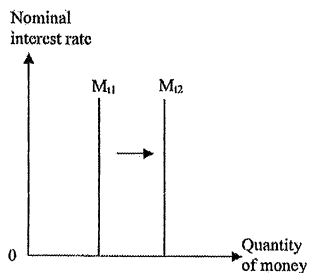
A.



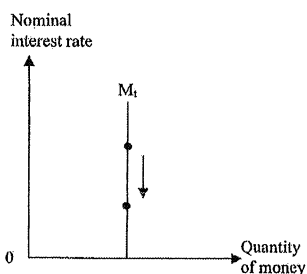
B.



C.



D.



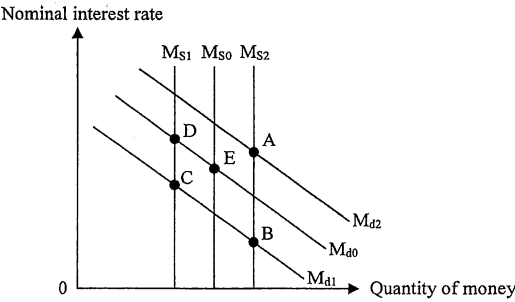
2024/DSE/I/27

If there is an increase in the tax allowance of salaries tax, transactions demand for money will _____ and the equilibrium nominal interest rate will _____.

- A. increase.....increase
- B. increase.....decrease
- C. decrease.....increase
- D. decrease.....decrease

2025/DSE/1/33

The diagram below shows the money demand and money supply curves of an economy. The original equilibrium point is at E.



Suppose more and more people in the economy like to make payments for daily expenses using wallets. At the same time, the central bank of the economy performs an open market purchase government bonds. The new equilibrium point in the above diagram will be at point_____.

- A. A
- B. B
- C. C
- D. D

Short & Structured Questions

1991/AL/II/1

'The real interest rate is the opportunity cost of holding money.' Explain this statement.

(10 marks)

2002/AL/II/3(a)

In microeconomics, we learn that the demand curve for any commodity shows the relationship between its price and quantity demanded. In macroeconomics, however, the demand curve for money shows the relationship between the interest rate and the quantity demanded of money.

Can we interpret the interest rate as the 'price' of holding money? Why or why not?

(4 marks)

2003/AL/II/4

Money is commonly believed to be the most liquid and perhaps the safest asset on Earth.

(a) What is meant by liquidity?

(2 marks)

(b) Explain why money is not necessarily a 100% risk-free asset.

(4 marks)

(c) Why are people willing to hold money even though its expected rate of return is lower than that of other assets (such as bonds and stocks)?

(4 marks)

2009/AL/II/2

(c) How are the real rate of interest and the nominal rate of interest related to the inflation rate? Explain clearly whether the inflation rate is expected or actual.

(3 marks)

(d) Which of these two interest rates can be interpreted as the opportunity cost of holding money? Explain.

(4 marks)

2020/DSE/II/9A

Ocean Park and Hong Kong Disneyland are the two large theme parks in Hong Kong.

(a) What is the market structure of the theme park industry in Hong Kong? List **TWO** features of this market structure.

(3 marks)

2023/DSE/II/10a

In 2022, the Hong Kong Financial Secretary announced the issuance of Silver Bonds for citizens aged 60 or above to subscribe. The nominal interest rate of the Silver Bonds is equal to the actual inflation rate in Hong Kong, subject to a minimum of 4%.

(a) From the viewpoint of senior citizens, explain **ONE** advantage and **ONE** disadvantage of holding Silver Bonds over holding cash.

(4 marks)